

COMMERCIAL & FACILITY SERVICES
MARKETING, SALES & TECH-ENABLED SERVICES
ENGINEERING, ARCHITECTURE & CONSULTING
FINANCIAL & INSURANCE SERVICES
STAFFING & HUMAN CAPITAL

BENCHMARK® INTERNATIONAL

MIDDLE MARKET

QUARTERLY INDUSTRY REPORT | Q4 2026

BUSINESS SERVICES

Mergers and acquisitions across commercial, professional, and human capital services

WHAT'S INCLUDED

01	INSIGHTS	Key trends, our view, perspectives on five sectors, what we are reading, and a feature on fire and life safety
02	SECTOR ACTIVITY	Client spotlight, recent transactions, listed-company valuation, earnings, economic trends, and select market participants
03	CONNECT WITH US	Benchmark International, how to reach us, and sources

OCTOBER 2026 | JARED HARDIN, MANAGING DIRECTOR

Important Disclosures

These disclosures apply to this report and to the Benchmark International Middle Market industry reports.

"Benchmark International" refers to the Benchmark International group of companies, which provide merger and acquisition advisory services to business owners through offices around the world. Benchmark International Middle Market is the mid-market advisory team within Benchmark International. Any reference to Benchmark International in this material includes its affiliated companies, as the context requires.

Benchmark International and its affiliates may have had, may currently have, or may in the future have business relationships with companies named in this material, with potential parties to a transaction and their related persons, or with their competitors, customers or suppliers. When Benchmark International is engaged to provide advisory services in a transaction, it acts only for its client in connection with that transaction.

The distribution of this material in certain jurisdictions may be restricted by law, and accordingly, recipients of this material represent that they are able to receive it without contravention of any registration requirement or other legal restrictions in the jurisdictions in which they reside or in which they conduct business.

This material does not contain all the information needed to assess any transaction. You must conduct your own investigations and analyses. Benchmark International does not provide valuations, appraisals, or fairness opinions, and does not provide accounting, tax, investment, regulatory, or legal advice to anyone. This material is for discussion and informational purposes only and is not a recommendation, offer, or solicitation for the purchase or sale of any security or an invitation or inducement to engage in any transaction or investment activity. Benchmark International obtained the information in this material from public filings, company announcements, published reports, and other third-party sources, together with its own transaction experience. Benchmark International has not independently verified such information, the information is current only as of the date stated, and no obligation is undertaken to provide updated or additional information. Transaction values, multiples, and other figures are as publicly reported, and the price of any private company depends on that business. No representation or warranty, expressed or implied, is made in relation to the fairness, accuracy, correctness, or completeness of the information, opinions, or conclusions expressed herein. All forward-looking statements herein involve assumptions and elements of subjective judgment and analysis and are not facts. Past transactions are not indicative of future results, and nothing in this material guarantees future results or performance.

Company names, logos, and trademarks referenced in this material are the property of their respective owners and are used for identification only. Their use does not imply any affiliation with or endorsement by those owners.

This material is only being distributed to, and only made available to, and directed at: (a) persons who are outside the United Kingdom; (b) persons in the United Kingdom who have professional experience in matters relating to investments falling within Article 19(5) of the UK Financial Services and Markets Act 2000 (Financial Promotion) Order 2005, as amended (the "Order"); (c) high net worth entities and other persons to whom it may otherwise lawfully be communicated falling within Article 49(2)(a) to (d) of the Order; or (d) any other person to whom this material may otherwise lawfully be communicated or caused to be communicated (all such persons in (b) to (d) together being referred to as "Relevant Persons"). This material must not be acted on or relied on by persons in the United Kingdom who are not Relevant Persons. In the United Kingdom, any investment or investment activity to which this material relates is only available to, and will be engaged with, Relevant Persons.

Our Team

The Middle Market team leads engagements from the first conversation through signing and closing.

Middle Market

The Middle Market team represents owners of privately held companies with $50 million to $500 million of total enterprise value in strategic sales, mergers, and qualifying change-of-control transactions.

HEADQUARTERS

AMERICAS
4030 West Boy Scout Blvd.
Suite 500, Tampa, FL 33607
+1 813 898 2350

EUROPE
One New Bailey, 4 Stanley St.
Manchester, M3 5JL
+44 (0) 161 359 4400

AFRICA
Airport Office Park, Freight Rd.
Cape Town Airport, 7525
+27 (0) 21 300 2055



Jordan Houtz

MANAGING DIRECTOR
HEAD OF MIDDLE MARKET

813-771-6675
jhoutz@benchmarkintl.com



Jared Hardin

MANAGING DIRECTOR

210-241-7990
j.hardin@benchmarkintl.com



Alex Zykov

TRANSACTION DIRECTOR

813-898-2372
azykov@benchmarkintl.com



Shannon Hess

CLIENT ENGAGEMENT DIRECTOR

813-898-2397
hess@benchmarkintl.com



SUNNY GARTEN
Senior Deal Associate



MICHAEL WYNN
Senior Deal Associate



JASON LISIAK, CFA
Research Associate



ALEXANDRA BARR
Transaction Support Associate



JOSIAH WARREN
Transaction Support Associate



LUKE ERNST
Deal Analyst

BUSINESS SERVICES COVERAGE

- Commercial & Facility Services
- Financial & Insurance Services
- Marketing & Sales Services
- Staffing & Human Capital
- Engineering & Architecture
- Consulting Services

01

Insights

- Key trends in business services
- Our view
- Perspectives on five sectors
- What we're reading
- Feature: fire and life safety



Key Trends in Business Services

Six developments across the five sectors, fourth quarter 2026

Fire and life safety consolidation

22

Pye-Barker Fire & Safety completed 22 acquisitions in the first half of 2026 (Pye-Barker) after 57 in 2025 (Pye-Barker, March 17). APi Group grew 10.1% organically in the second quarter and reported a backlog above $5 billion (APi Group).

Acquirers compete most actively for contracted inspection and service work.

10-year Treasury yield

4.99%

The Federal Reserve raised its target range to 3.75% to 4.00% on September 16 (Federal Reserve), and the 10-year Treasury yield averaged 4.99% in September (FRED). Average total debt on platform acquisitions fell to 2.9x EBITDA from 3.4x (GF Data via ACG).

Costlier debt puts a premium on documented earnings and contracted customers.

Engineering backlog and staffing

88%

The median engineering firm holds 12 months of backlog, and 88% of firms report at least one open position (ACEC). Bernhard Capital agreed to buy Bowman for about $1.0 billion of enterprise value, a 58% premium (Bowman).

Buyers of engineering firms are paying for licensed staff and funded backlog.

Commercial insurance pricing

–2%

Commercial premiums fell 2% on average in the second quarter, with property down 6.3% (Insurance Journal). Aon agreed on August 31 to buy USI from KKR for $17 billion including debt (Insurance Journal, September 21).

Small commercial and casualty accounts are seeing the least pricing pressure.

Staffing revenue recovery

+5%

Median staffing revenue grew 5% in August, the fastest growth since late 2022 (Staffing Industry Analysts). Temporary help employment remains 21% below its March 2022 peak (BLS via FRED).

Skilled trades, engineering, and healthcare placements are drawing the acquirers.

Advertising demand and AI

+9.6%

US advertising revenue is forecast to grow 9.6% in 2026 (MediaPost composite). Marketing budgets hold at 7.8% of company revenue, with 15.3% of those budgets directed to AI (Gartner via Marketing Dive).

Retained clients, first-party data, and measurable outcomes hold their value.

WHAT IT MEANS FOR OWNERS

Buyers pay most readily for revenue that repeats under contract. Completed middle-market transactions averaged 7.0x EBITDA in the second quarter (GF Data via ACG), the average multiple on sales of $5 million to $50 million reached 5.8x (IBBA and M&A Source), and 87% of sales above $5 million drew three or more offers (IBBA and M&A Source release).

Figures as of October 7, 2026. The 10-year Treasury figure is the monthly average for September 2026. GF Data figures are averages on trailing adjusted EBITDA. EBITDA is earnings before interest, taxes, depreciation, and amortization.

Our View

Expectations for the fourth quarter and the first half of 2027

OUR VIEW

The lower middle market has decoupled from the headline deal market.

Global M&A fell 41% from the second quarter on the rate move, but the decline sits in the largest transactions. Three-quarters of buyouts are add-ons financed off platform facilities and sponsor equity committed before the Fed hike, and the sub-$50 million market printed its highest multiple since early 2022 with three or more offers on 87% of sales above $5 million. We expect that spread to persist through the first half of 2027: GF Data's averages drift toward the mid-6x range as leverage keeps compressing, while business services transactions under $50 million hold between 5.5x and 6.0x, because the buyers are consolidators pricing route density and contract renewals rather than the cost of debt.

3.75% to 4.00%	Federal funds target after the September 16 increase
2.9x	Average total debt on platform deals, down from 3.4x
87%	Sales above $5 million that drew three or more offers

STRUCTURE BEFORE PRICE

With platform leverage at 2.9x and senior debt priced at 7.8%, buyers close the gap with rollover equity, earnouts, and seller notes rather than lower headline numbers. Cash at close, now 83% to 92%, moves toward the low end of that range in 2027, so the owners who do best decide early how much deferred consideration they will accept and on what metric.

TIMING

The Fed raised rates into a labor market adding 66,000 jobs a month, with unemployment at 4.2% and engineering executives putting recession odds at 41%. An owner with a renewal book or funded backlog has a better story in the first quarter of 2027 than after a softer year shows up in trailing figures, which argues for preparing now and going to market early in the new year.

BY SECTOR

Commercial & facility	Fire and life safety stays the most contested corner of business services, and the premium narrows to inspection-led, contracted revenue with company-held licenses, which is what Pye-Barker, APi, and AI Fire are paying for.
Marketing, sales & tech-enabled	The 9.6% advertising forecast masks a repricing inside agencies. Buyers pay for retained vertical specialists, proprietary data, and measurable outcomes, and labor-hour billing models see multiple compression as AI takes the production work.
Engineering, architecture & consulting	Bernhard taking Bowman private at roughly 22x reported EBITDA and a 58% premium while the listed group trades at 15x shows private capital valuing licensed staff and a year of backlog well above the public market. Founder-owned firms with power, water, and data center backlog have an open window; federally exposed firms do not.
Financial & insurance	Softening premiums slow organic growth, so the aggregators lean harder on acquisitions and Aon's purchase of USI restarts large-cap consolidation. Agency prices hold, with more of the consideration tied to retention.
Staffing & human capital	The recovery is concentrated in engineering, industrial, and healthcare placements, while temporary help employment sits 21% below its 2022 peak, so specialty firms should prepare to sell into improving comparables in 2027 and generalist commercial staffing should wait.

Perspectives on Five Sectors

Buyers, drivers, and valuation tests by sector



COMMERCIAL & FACILITY SERVICES

Contracted, inspection-driven revenue is drawing the most active consolidators.

MARKET SIZE AND GROWTH

Recurring monthly revenue at the 100 largest security dealers rose 7% to $740 million in 2025 (SDM), and SGS grew 5.6% organically in the first half (SGS).

ACTIVE BUYERS

Pye-Barker, APi Group, AI Fire, and Cintas in fire and safety; Allied Universal in guarding; DEX Imaging and UBEO in office technology; SGS and Phenna Group in testing.

WHAT BUYERS REWARD

Inspection, monitoring, and service contracts that renew each year, and licenses held by the company.



MARKETING, SALES & TECH-ENABLED SERVICES

Advertising demand is strong, and specialists with data or a vertical focus are in demand.

MARKET SIZE AND GROWTH

US internet advertising revenue reached $294.6 billion in 2025, up 13.9% (IAB and PwC), and North American promotional products sales reached a record $27.7 billion (ASI).

ACTIVE BUYERS

Sponsor-backed agency platforms such as OneMagnify, Power Digital, and Wpromote; Publicis and Havas; Accenture and Cognizant; HALO and Proforma in promotional products.

WHAT BUYERS REWARD

Retained client relationships, depth in one vertical, proprietary data, and a team beyond the founder.



ENGINEERING, ARCHITECTURE & CONSULTING

Backlogs run a year deep, and private capital is paying for licensed talent.

MARKET SIZE AND GROWTH

The 500 largest design firms reported $158.7 billion of revenue, up 7.4% (ENR), and 447 transactions were announced among AEC firms in 2025 (PSMJ).

ACTIVE BUYERS

Bernhard Capital Partners; Ardurra, owned by Littlejohn & Co.; Salas O'Brien; SAM Companies; Pape-Dawson; J.S. Held in forensic engineering.

WHAT BUYERS REWARD

Funded backlog of a year or more, licensed staff, and a second generation of principals.



FINANCIAL & INSURANCE SERVICES

Softer premiums are slowing organic growth while the largest brokers keep buying.

MARKET SIZE AND GROWTH

Managing general agents wrote $108.7 billion of direct premium in 2025, up 17.8% (AM Best via Risk & Insurance), and advisory firm sales moved $342.9 billion of client assets in the first half (WealthManagement.com).

ACTIVE BUYERS

Aon, Gallagher, Inszone, EPIC, King Risk Partners, and World Insurance Associates in brokerage; Hightower and Mercer Advisors in wealth.

WHAT BUYERS REWARD

Recurring commissions and fees with high retention, and producers under contract beyond the owner.



STAFFING & HUMAN CAPITAL

Staffing revenue growth is the fastest since late 2022, led by skilled work.

MARKET SIZE AND GROWTH

US temporary and contract staffing sales were $113.5 billion in 2025, down 8.5% (ASA), and industrial staffing revenue is now forecast to grow 7% in 2026 (Staffing Industry Analysts).

ACTIVE BUYERS

Korn Ferry, Aerotek, ALKU, CHG Healthcare, and Airswift, with sponsor-backed specialists in skilled trades and engineering.

WHAT BUYERS REWARD

Specialty placements, gross margin held through the downturn, and direct client relationships.

ACROSS THE FIVE SECTORS

Five tests buyers apply

1. **Revenue that repeats under contract**
   Service agreements, retainers, and renewals.
2. **Licensed, certified, or tenured people**
   Credentials held by the company.
3. **Management beyond the owner**
   Leaders who hold the client relationships.
4. **No client above a fifth of revenue**
   One dominant account lowers the price.
5. **Margins that held through the downturn**
   Proof that pricing and staffing can adjust.

Active buyers are drawn from transactions announced between October 2025 and October 2026.

What We're Reading

Six sources from the third quarter

INDUSTRY READING

ACEC RESEARCH INSTITUTE — August 27, 2026

Engineering firms hold a year of work and expect a slower economy

The third-quarter survey of engineering firms recorded a median backlog of 12 months, with the strongest sentiment in data centers and in water and wastewater. The same firms put the odds of a recession within six months at 41%, and 88% reported open positions.

> Backlog and a bench of licensed engineers are the first two facts a buyer will test.

READ HERE

STAFFING INDUSTRY ANALYSTS — September 29, 2026

Staffing revenue grows 5% at the median, the best reading since 2022

The August Pulse Survey of 128 staffing firms recorded median revenue growth of 5% from a year earlier. Engineering staffing led at 10% and industrial staffing followed at 8%, after three years in which industry revenue declined.

> The recovery is strongest in the skilled categories where this year's acquisitions are concentrated.

READ HERE

INSURANCE JOURNAL — August 20, 2026

Commercial premiums fall 2% as property pricing softens

The Council of Insurance Agents & Brokers recorded an average premium decline of 2% in the second quarter. Large accounts fell 3.7% and small accounts fell 0.5%, and commercial property fell 6.3% while umbrella and commercial auto continued to rise.

> Account size and line of business now explain most of the difference in agency growth.

READ HERE

ECONOMY AND DEAL MARKET

REUTERS, VIA INVESTING.COM — October 1, 2026

Global deal value falls 41% from the second quarter

Announced global M&A fell to $993 billion in the third quarter, down 41% from the second quarter and the first quarter under $1 trillion since mid-2025. Year-to-date value of $3.9 trillion is the highest for the period since 2001 (LSEG data).

> The slowdown is concentrated in the largest transactions. Add-on purchases by existing platforms made up about three-quarters of second-quarter buyouts by count (PitchBook).

READ HERE

FEDERAL RESERVE — September 16, 2026

The Federal Open Market Committee raises its target range

The committee raised the target range for the federal funds rate by 25 basis points to 3.75% to 4.00% and stated that inflation remains elevated. Senior debt on middle-market acquisitions was already priced at 7.8% in the second quarter.

> Lenders are advancing less debt against each dollar of earnings, with average total debt at 2.9x EBITDA on platform deals (GF Data via ACG).

READ HERE

IBBA AND M&A SOURCE — Market Pulse, second quarter 2026

Smaller transactions reach their highest multiple since early 2022

The quarterly survey of business brokers and M&A advisors put the average multiple on sales of $5 million to $50 million at 5.8x EBITDA, up from 5.5x a year earlier and the highest since the first quarter of 2022. Sellers received 83% to 92% of the price in cash at closing.

> Competition for well-prepared businesses is intact, with three or more offers on 87% of sales above $5 million (survey release).

READ HERE

Publication dates are as shown on each source.

Feature: Fire and Life Safety

Why inspection and service revenue draws acquirers



Pye-Barker alone bought 79 fire and security companies in the eighteen months to June 2026, and APi Group, Sciens Building Solutions, and AI Fire are buying alongside it.

1 **The work is contracted or mandated**
Inspection, testing, and monitoring repeat on a schedule, so the revenue continues when new construction slows.

2 **Acquired branches add density**
A buyer that already runs routes in a region can serve an acquired book of accounts with the technicians it has.

3 **Inspection leads the customer relationship**
APi bought CertaSite, with about $90 million of revenue, because the business leads with inspections and earns repair and service work from them.

22
Pye-Barker acquisitions in the first half of 2026, after 57 in 2025 (Pye-Barker; Pye-Barker, March 17)

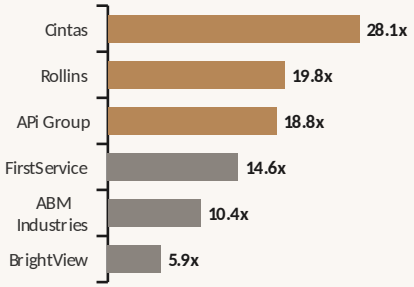
10.1%
APi Group organic revenue growth in the second quarter, with backlog above $5 billion (APi Group)

60%
Share of revenue APi aims to earn from inspection, service, and monitoring (APi Group, December 10, 2025)

$740M
Recurring monthly revenue of the 100 largest security dealers in 2025, up 7% (SDM)

Enterprise value to trailing EBITDA, six listed services companies

Priced at the October 16, 2026 close, on reported EBITDA. Source: StockAnalysis



Cintas and Rollins run recurring service routes and APi Group is built around inspection and service, while ABM and BrightView depend more heavily on labor hours. Margin, growth, and leverage also separate these companies.

RECENT FIRE AND SECURITY TRANSACTIONS

BUYER	TARGET	WHAT THE TARGET DOES	DATE
Pye-Barker Fire & Safety	Union AlarmTronic	Alarm, access control, and video company, New Jersey	Sep 2026
Pye-Barker Fire & Safety	Suppression Systems, Inc.	Fire alarm and suppression, Pacific Northwest	Aug 2026
Allied Universal	Aegis Protective Services and Admiral Security Services	Guard services and security technology	Jun 2026
Sciens Building Solutions	Southern Fire Control	Fire sprinkler contractor, Florida	Jan 2026
APi Group	CertaSite	Fire and life safety inspection, Midwest	Dec 2025*

Purchase prices were not disclosed. *Announced December 2025, closed February 2026; Allied Universal dates are closing dates. Benchmark International's own fire and life safety sales appear in the client spotlight in the next section.

WHAT A BUYER WILL ASK

An owner in this field should expect to be asked what share of revenue comes from inspection, monitoring, and service agreements, whether the licenses are held by the company or by the owner personally, and how long the technicians have been with the business.

Listed multiples are priced at the October 16, 2026 close and use reported EBITDA. Rollins is a pest control company and is included as a route-based comparison.

02

Sector Activity

- Client spotlight
- Select recent M&A transactions
- Benchmark International transactions
- Public companies: valuation and operating metrics
- Earnings and commentary
- Economic trends
- Select participants



Client Spotlight: Three Fire and Life Safety Sales

Three fire protection businesses sold to operators already in the field

FPS TECHNOLOGIES, INC. ACQUIRED BY CINTAS READY FOR THE WORKDAY

FPS Technologies and Cintas

BUSINESS OVERVIEW

FPS Technologies designs, installs, and maintains fire protection and safety systems from Oklahoma City and provides emergency service around the clock.

THE BUYER

Cintas is a listed company that serves more than one million businesses over approximately 12,500 local delivery routes (Cintas annual report).

WHAT THE BUYER ADDED

A regional book of recurring fire system inspection and maintenance work.

Read the announcement

FST FIRE SYSTEMS TECHNOLOGY, INC. ACQUIRED BY AI FIRE

Fire Systems Technology and AI Fire

BUSINESS OVERVIEW

Fire Systems Technology is a full-service fire sprinkler contractor in Arkansas that installs, inspects, maintains, and renovates systems.

THE BUYER

AI Fire is a fire and life safety platform backed by private equity that has been adding regional contractors.

WHAT THE BUYER ADDED

Sprinkler installation and inspection capacity in Arkansas.

Read the announcement

HIGH TECH SOLUTIONS SYSTEMS GROUP ACQUIRED BY AI FIRE

High Tech Solutions and AI Fire

BUSINESS OVERVIEW

High Tech Solutions - Systems Group designs, installs, and services special systems for customers in Montana and Wyoming.

THE BUYER

AI Fire made this purchase in addition to its acquisition of Fire Systems Technology.

WHAT THE BUYER ADDED

Special systems capability and a position in Montana and Wyoming.

Read the announcement



WHAT THE THREE SALES HAD IN COMMON

Service alongside installation

The businesses maintained, inspected, or serviced the systems they installed, which gave the buyer continuing work with the same customers.

A defined home region

Oklahoma City, Arkansas, and Montana and Wyoming gave the buyer territories to add to its existing coverage.

A buyer already in the field

Cintas and AI Fire both operate fire protection businesses, so the purchases extended platforms that were already in place.

Business descriptions follow the announcements on benchmarkintl.com, linked from each card. Transaction values are not disclosed.

Select Recent Business Services M&A Transactions

Six transactions announced between June and October 2026, one or more from each sector

SEPTEMBER 2026 — COMMERCIAL & FACILITY SERVICES

UNION ALARMTRONIC ACQUIRED BY PYE-BARKER ENGINEERED SOLUTIONS

Pye-Barker adds a second-generation alarm company in New Jersey

Union AlarmTronic provides alarm, access control, and video systems. The purchase follows 22 acquisitions by Pye-Barker in the first half of 2026 and 57 in 2025 across fire and security (Pye-Barker).

Founder-led alarm and fire companies with monitoring revenue continue to find a buyer quickly.

OCTOBER 2026 — MARKETING, SALES & TECH-ENABLED SERVICES

EAST BEACH SPECIALTIES ACQUIRED BY zebra marketing

Zebra Marketing agrees to acquire East Beach Specialties

East Beach Specialties is a promotional products distributor on the Mississippi Gulf Coast (ASI). Industry sales grew 2.5% in the second quarter, and firms under $1 million of revenue were essentially flat (ASI Central).

Scale is separating promotional products distributors, and smaller firms are joining larger ones.

AUGUST 2026 — ENGINEERING, ARCHITECTURE & CONSULTING

Bowman ACQUIRED BY Bernhard Capital Partners

Bernhard Capital agrees to buy Bowman for about $1.0 billion

Bowman is a founder-led engineering firm with more than 2,500 employees and a backlog of $658.7 million, up 50.3% (Bowman results). The offer of $43.00 per share is a 58% premium to the prior close (Bowman).

Private capital is paying for licensed staff and funded backlog.

AUGUST 2026 — FINANCIAL & INSURANCE SERVICES

HARRIS INSURANCE ACQUIRED BY inszone INSURANCE SERVICES

Inszone acquires a three-generation agency in Tulsa

Harris Insurance Services was founded in 1925 in West Tulsa, Oklahoma (Insurance Business). King Risk Partners, EPIC, and World Insurance Associates each bought a long-established agency in the same period (Insurance Journal).

Multi-generation agencies are selling to consolidators while premium rates soften.

SEPTEMBER 2026 — STAFFING & HUMAN CAPITAL

laborworx ACQUIRED BY VeriWorks.

VeriWorks enters data center construction staffing

LaborWorx supplies skilled trades for data center construction (Staffing Industry Analysts). The 2026 forecast for industrial staffing revenue was raised to growth of 7% from 1% in September (SIA forecast).

Skilled trades tied to data center, power, and factory construction are drawing buyers.

JUNE 2026 — STAFFING & HUMAN CAPITAL

A|M|S ACQUIRED BY KORN FERRY

Korn Ferry agrees to buy AMS at about 11 times EBITDA

The purchase price of £850 million, roughly $1.1 billion, compares with about $650 million of fee revenue and about $100 million of run-rate adjusted EBITDA (Korn Ferry).

Long-term outsourcing contracts earned a multiple in line with the 10.0x median of far larger listed staffing companies.

Transaction values are as reported by the linked source. The listed staffing median is on the valuation page of this report. Transactions advised by Benchmark International follow on the next page.

Benchmark International's Business Services Transactions

Closed transactions by sector, trailing 24 months

TRAILING 24 MONTHS

67

transactions closed in these five sectors

44

sellers named publicly, more than half of them bought by a company in their own or an adjacent field

Ranked the leading privately owned sell-side M&A advisor in the world in PitchBook's Q2 2026 Global League Tables (Benchmark International).

FPS TECHNOLOGIES, INC.

HAS BEEN ACQUIRED BY

CINTAS — READY FOR THE WORKDAY

Fire protection and safety systems design, installation, and service

COMMERCIAL & FACILITY

FST FIRE SYSTEMS TECHNOLOGY, INC.

HAS BEEN ACQUIRED BY

AI FIRE

Full-service fire sprinkler contractor, Arkansas

COMMERCIAL & FACILITY

PACIFIC

HAS BEEN ACQUIRED BY

CRESSWELL VENTURES

Armed and unarmed security services

COMMERCIAL & FACILITY

BRIGGS

HAS BEEN ACQUIRED BY

PHENNA GROUP

Inspection, testing, and quality control engineering

COMMERCIAL & FACILITY

Telmark SALES SOLUTIONS, INC.

HAS BEEN ACQUIRED BY

Sentinel CAPITAL PARTNERS

Consumer packaged goods sales brokerage, sold to Sentinel's Market Performance Group

MARKETING, SALES & TECH-ENABLED

MARTIANCRAFT

HAS BEEN ACQUIRED BY

WALNUT CAPITAL PARTNERS

Software design and development agency

MARKETING, SALES & TECH-ENABLED

SNAILWORKS Direct Mail Insights & Solutions

HAS BEEN ACQUIRED BY

Beacon

Mail-tracking software for direct mailers

MARKETING, SALES & TECH-ENABLED

TSM TOTAL SALES & MARKETING

HAS BEEN ACQUIRED BY

Retail Rex CAPITAL

Promotional products and marketing services

MARKETING, SALES & TECH-ENABLED

SJBGroup

HAS BEEN ACQUIRED BY

SAM

Civil engineering firm, Baton Rouge, Louisiana

ENGINEERING & ARCHITECTURE

ENGINEERED BUILDING SYSTEMS

HAS BEEN ACQUIRED BY

rtm engineering consultants

Mechanical, electrical, and plumbing engineering, Northern Kentucky

ENGINEERING & ARCHITECTURE

Altair

HAS BEEN ACQUIRED BY

Centri

Underwriting and claims review for insurers and reinsurers

FINANCIAL & INSURANCE

MOKAVIA AEROSPACE

HAS BEEN ACQUIRED BY

HI-TEK PROFESSIONALS

Aerospace engineering and technical contract staffing

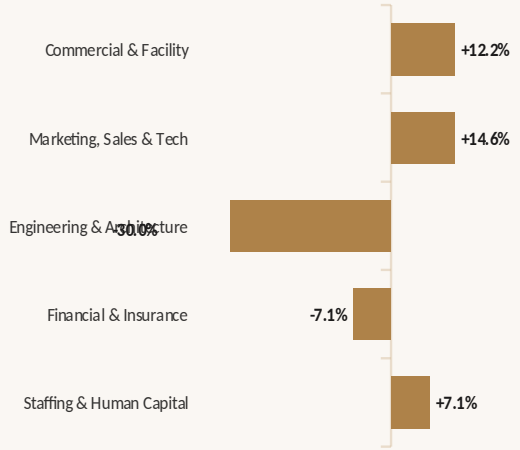
STAFFING & HUMAN CAPITAL

Public Companies: Valuation

Listed peers by sector, priced at the October 16, 2026 close

Share price change, past 52 weeks

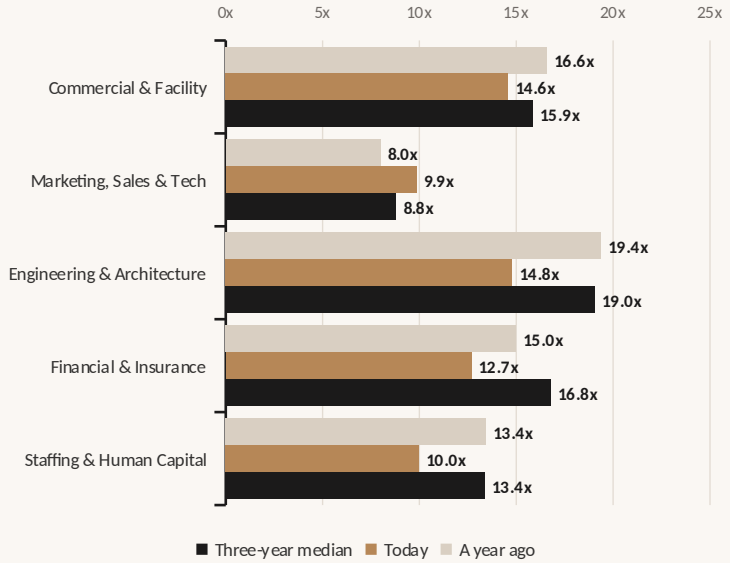
Median of the listed companies in each sector



Shares rose over the year at 7 of 11 commercial and facility, 6 of 9 marketing, 1 of 8 engineering, 3 of 9 financial and insurance and 7 of 10 staffing companies.

Enterprise value to trailing EBITDA

Median multiple a year ago, today, and over three years, same companies at each point (11, 9, 7, 8, 7 companies)



25 of the 42 companies trade below their own three-year median multiple; marketing is the one sector above its year-ago and three-year medians.

PRIVATE-DEAL REFERENCE POINTS

7.0x

Average for completed middle-market transactions in all industries, second quarter of 2026 (GF Data via ACG)

5.8x

Average multiple for transactions of $5 million to $50 million in all industries, second quarter of 2026 (IBBA and M&A Source)

4.0x

Average multiple for transactions of $2 million to $5 million in the same survey

Listed multiples describe companies many times larger than a founder-owned business and use reported EBITDA.

LISTED COMPANIES IN EACH PEER GROUP, WITH ENTERPRISE VALUE TO TRAILING EBITDA

COMMERCIAL & FACILITY

Cintas 28.1x | UL Solutions 20.6x | Rollins 19.8x | APi Group 18.8x | SGS 18.0x | FirstService 14.6x | Intertek 13.1x | Bureau Veritas 11.8x | Mistras Group 10.4x | ABM Industries 10.4x | BrightView 5.9x

MARKETING, SALES & TECH

WPP 16.4x | Stagwell 11.7x | 4imprint 11.3x | Accenture 10.2x | Publicis 9.9x | Omnicom 8.2x | Cognizant 7.6x | Advantage Solutions 5.9x | Dentsu 4.9x

ENGINEERING & ARCHITECTURE

Bowman Consulting 21.8x | Jacobs 18.4x | Willdan Group 15.7x | Tetra Tech 14.8x | TIC Solutions 13.2x | Stantec 13.0x | WSP Global 11.1x | AECOM 10.6x

FINANCIAL & INSURANCE

Gallagher 18.2x | Ryan Specialty 15.5x | Marsh McLennan 13.9x | Aon 13.0x | WTW 12.3x | CBIZ 10.6x | Brown & Brown 10.5x | Crawford 10.0x | Baldwin n/m

STAFFING & HUMAN CAPITAL

Kforce 17.1x | TriNet 14.2x | Barrett (BBSI) 12.2x | Randstad 10.0x | Korn Ferry 9.0x | ManpowerGroup 7.3x | AMN Healthcare 6.5x | TrueBlue n/m | Robert Half n/m | Insperity n/m

BENCHMARK INTERNATIONAL

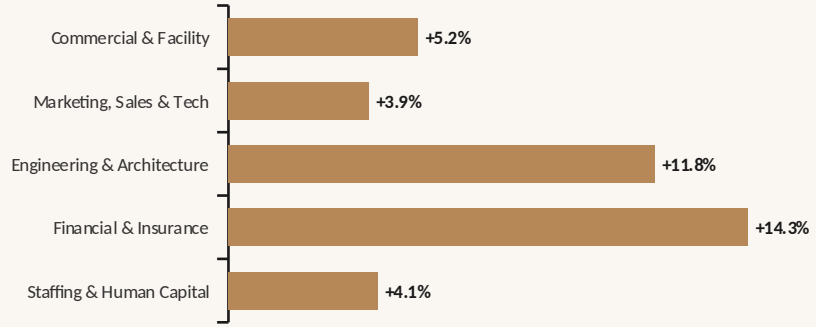
Source: StockAnalysis, retrieved October 19, 2026, with each company priced at the October 16, 2026, close except Barrett (BBSI), priced September 30 on the source. Multiples use reported trailing EBITDA; the private-deal multiples at right use adjusted EBITDA. The history chart covers the 42 companies with a current multiple under 50x and quarter-end history; n/m marks 4 companies above 50x. TIC Solutions listed in February 2025 and is excluded from the history chart. Bowman trades at its agreed takeover price. WPP's multiple reflects trailing EBITDA depressed by restructuring charges.

Public Companies: Operating and Valuation Metrics

Sector medians, trailing twelve months

Revenue growth, trailing twelve months

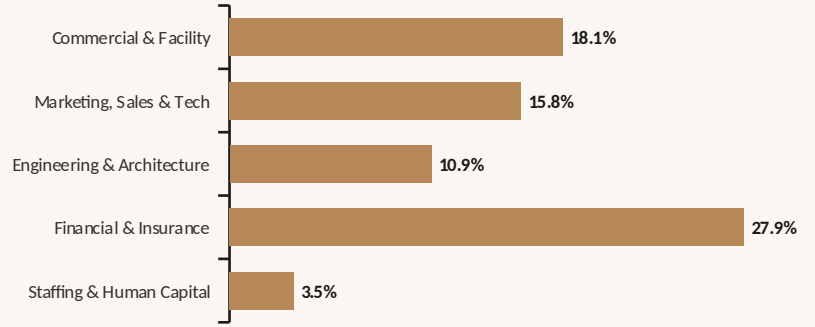
Median by sector; growth includes acquisitions



Financial and insurance growth reflects large acquisitions by the listed brokers and CBIZ, and engineering growth is supported by backlog.

EBITDA margin, trailing twelve months

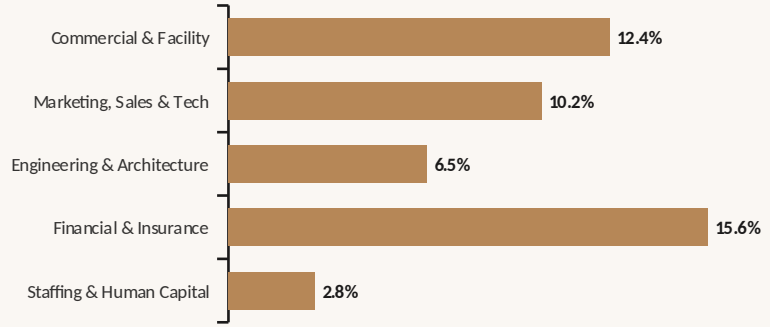
Median by sector, on reported EBITDA



Insurance brokerage earns the widest margin, and staffing earns the narrowest because most of its revenue passes through to payroll.

Free cash flow margin, trailing twelve months

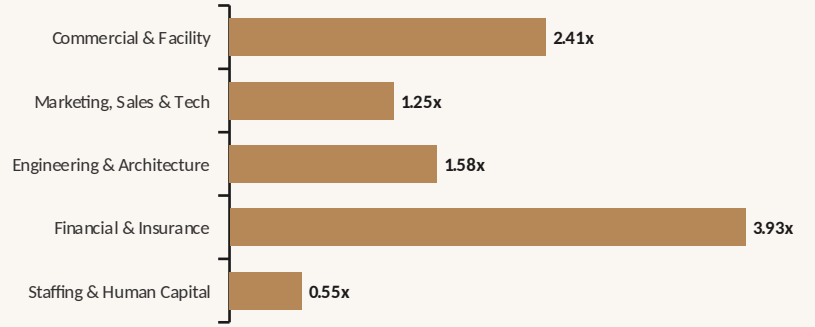
Median by sector



Commercial and facility services converts more revenue to cash than engineering services.

Enterprise value to trailing revenue

Median by sector



Revenue multiples follow margin, which is why an owner should compare a business with its own sector.

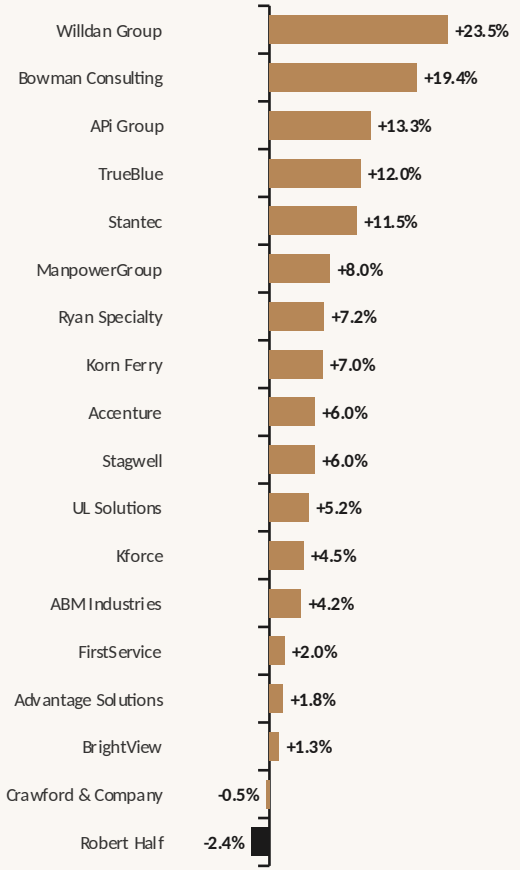
Source: StockAnalysis, retrieved October 19, 2026. Medians cover the listed companies in each sector with a published figure, between 8 and 11 companies a sector. Trailing periods end between December 2025 and September 2026. EBITDA is as reported and is lower than the adjusted EBITDA companies present.

Earnings and Commentary

Latest reported quarter, by theme

Revenue growth, latest reported quarter

Year over year, as stated in each earnings release; quarters ended June to August 2026



CONTRACTED AND INSPECTION-DRIVEN SERVICES

Russ Becker, President and CEO, APi Group

Credited inspection, service, and monitoring revenue, together with healthy project work, for double-digit organic growth, and pointed to a record backlog above $5 billion.

Scott Salmirs, President and CEO, ABM Industries

Said aviation and manufacturing and distribution led organic growth, and that deferred projects in the technical solutions business are expected to ramp in the fourth quarter.

Jennifer Scanlon, President and CEO, UL Solutions

Described record revenue and substantial cash flow, and said the company is well positioned for the second half of 2026.

Scott Patterson, CEO, FirstService

Said profitability met expectations while macroeconomic headwinds held back organic growth.

IN SUM

Inspection and service revenue is carrying growth while customers defer discretionary projects.

ENGINEERING AND ENERGY DEMAND

Gord Johnston, President and CEO, Stantec

Said a record backlog of $9.2 billion supports stronger activity in the second half and keeps the company on track for its 2026 targets.

Mike Bieber, President and CEO, Willdan Group

Linked growth to strong demand for energy work as customers spend to serve rising electricity load and to improve grid reliability.

Gary Bowman, Founder and CEO, Bowman Consulting

Said demand is healthy across the firm's markets, that recent wins open the way to larger infrastructure assignments and that backlog reached $659 million.

Roger Argus, CEO, Tetra Tech

Attributed a strong quarter mainly to US federal and international markets, each of which grew at a double-digit rate.

IN SUM

Power, water, and infrastructure work is filling backlogs, and buyers are paying for the licensed staff who deliver it.

HIRING AND CLIENT BUDGETS

Jonas Prising, Chair and CEO, ManpowerGroup

Said revenue beat expectations as demand improved, with very strong growth in the Manpower brand and better trends in the firm's professional and outsourcing businesses.

Joseph J. Liberatore, President and CEO, Kforce

Said clients that are measured in adding permanent headcount are turning to flexible talent for their technology initiatives.

Dave Peacock, CEO, Advantage Solutions

Said clients favor programs with measurable returns, with demand accelerating in experiential services while branded services declined.

M. Keith Waddell, President and CEO, Robert Half

Said hiring demand keeps improving and that market conditions are becoming more supportive.

IN SUM

Staffing demand is returning, and marketing clients are concentrating spend where results can be measured.

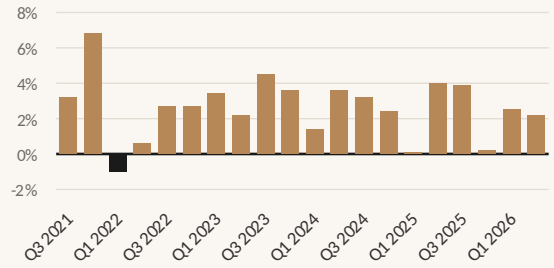
Figures are from each earnings release, linked from the company name. Stantec, Willdan, Bowman, and Stagwell are on net revenue, Korn Ferry is on fee revenue, and Crawford is computed from revenues before reimbursements. Omnicom, Tetra Tech, and Baldwin state no comparable change and are not charted.

Economic Trends

Growth, hiring, rates, and services employment through September 2026

Real GDP growth

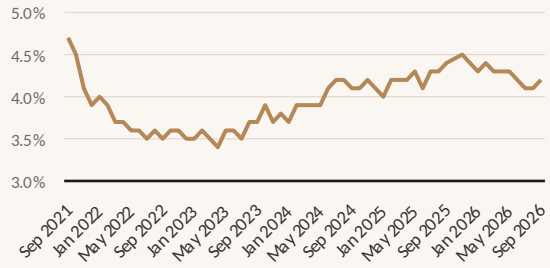
Quarterly change at a seasonally adjusted annual rate. Source: Bureau of Economic Analysis via FRED



The economy grew at a 2.2% annual rate in the second quarter of 2026 after 2.5% in the first.

Unemployment rate

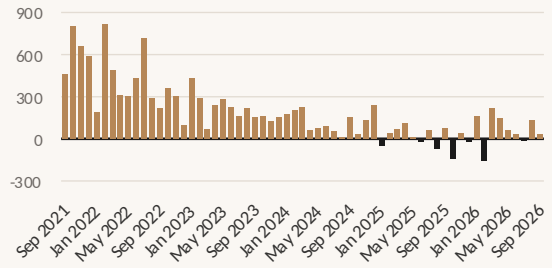
Seasonally adjusted. Source: Bureau of Labor Statistics via FRED



Unemployment stood at 4.2% in September 2026, compared with 4.4% a year earlier.

Monthly change in payroll employment

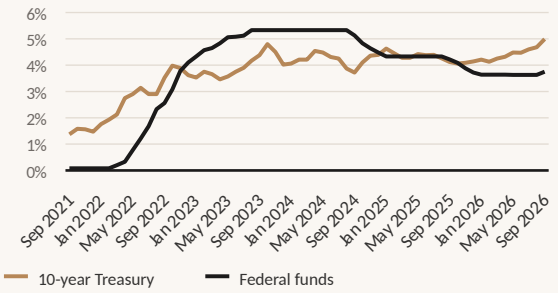
Thousands of jobs, seasonally adjusted. Source: Bureau of Labor Statistics via FRED



Employers added 29,000 jobs in September, and the average over the past six months was 66,000.

10-year Treasury yield and federal funds rate

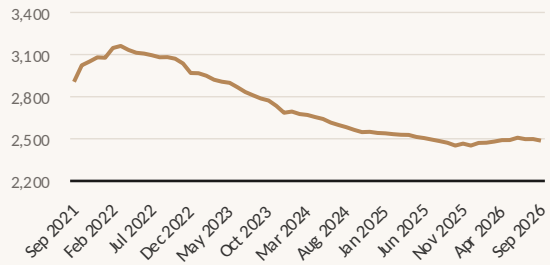
Monthly averages. Source: Federal Reserve via FRED and FRED



The 10-year yield averaged 4.99% in September, up from 4.12% a year earlier, while the federal funds rate averaged 3.75%.

Temporary help services employment

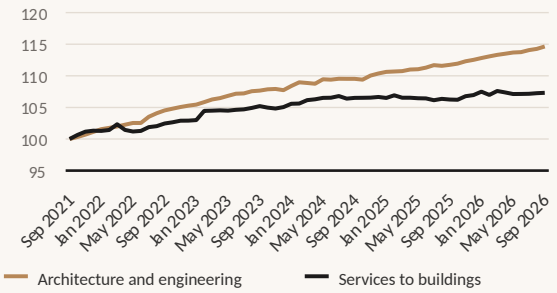
Thousands of employees, seasonally adjusted. Source: Bureau of Labor Statistics via FRED



Temporary employment of 2.49 million is 21% below its March 2022 peak and slightly above its level a year earlier.

Engineering and building services employment

Index, September 2021 = 100. Source: Bureau of Labor Statistics via FRED and FRED



Architecture and engineering employment is 14.6% above its September 2021 level, and building services employment is 7.3% above.

Each series runs from September 2021 to its latest month, September 2026, and GDP runs to the second quarter of 2026. Recent months are preliminary. FRED has no unemployment rate for October 2025, and the line bridges that month.

Select Participants

Listed reference companies and active private acquirers by sector

COMMERCIAL & FACILITY SERVICES

LISTED COMPANIES






















FIRE, SECURITY AND GUARDING







FACILITY AND OFFICE TECHNOLOGY

4M Building Solutions









TESTING AND INSPECTION







MARKETING, SALES & TECH-ENABLED SERVICES

LISTED COMPANIES

















AGENCY PLATFORMS AND SPONSORS







Supreme Group (Trinity Hunt)







PROMOTIONAL PRODUCTS







CONSULTING





ENGINEERING, ARCHITECTURE & CONSULTING

LISTED COMPANIES

















PLATFORMS AND CONSOLIDATORS











Control Point Associates





FORENSIC ENGINEERING



YA Group (THL Partners)

CodeGreen (Pinchin)

FINANCIAL & INSURANCE SERVICES

LISTED COMPANIES



















INSURANCE BROKERAGE











WEALTH AND OTHER









STAFFING & HUMAN CAPITAL

LISTED COMPANIES

AMN Healthcare

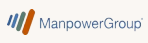




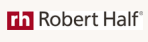














STAFFING FIRMS











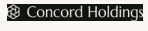








INVESTORS





Meraki Capital

Knox Lane

TNC Capital Partners

ZRG (RFE Investment Partners)

Private participants are buyers in transactions announced between October 2025 and October 2026. The list is illustrative.

03

Connect With Us

- Benchmark International
- Start a conversation
- Sources



Benchmark International

The world's leading privately owned sell-side M&A advisor focused on five industries.

BENCHMARK® INTERNATIONAL

Benchmark International advises owners of privately held companies around the world, and its Middle Market team represents owners of companies with $50 million to $500 million of total enterprise value in strategic sales, mergers, and qualifying change-of-control transactions. The first step is a confidential conversation about your goals, your company, and your options.

#1

Privately owned sell-side M&A advisor worldwide, based on PitchBook's Q2 2026 Global League Tables

$50M to $500M

Total enterprise value range the Middle Market team serves

5

Focused industry groups with dedicated sector expertise

15

Global offices across the Americas, Europe, and Africa

RECOGNITION

THE M&A ADVISOR
INVESTMENT BANKING FIRM OF THE YEAR

PitchBook
#1 SELL-SIDE EXCLUSIVE M&A ADVISOR IN THE WORLD

LSEG
#1 PRIVATELY-HELD M&A ADVISORS WORLDWIDE

DealMakers
MERGERS & ACQUISITIONS (UNLISTED DEALS) FIRST IN THE CATEGORY OF INVESTMENT ADVISERS (DEAL FLOW)

FIVE INDUSTRY GROUPS

- INDUSTRIALS
- BUSINESS SERVICES
- CONSUMER
- HEALTHCARE
- TECHNOLOGY

Ranking based on PitchBook's Q2 2026 Global League Tables, as published at benchmarkintl.com. Awards as shown on the Benchmark International Middle Market site.

Connect With Us

A first conversation is confidential and carries no obligation.

CONFIDENTIAL AND WITHOUT OBLIGATION

It all starts with a conversation.

Owners considering a strategic sale, merger, or qualifying change-of-control transaction in the five sectors covered in this report, and the advisors who work with them, are welcome to call or email. The first step is a confidential conversation about your goals, your company, and your options.



Jared Hardin
MANAGING DIRECTOR
210-241-7990
j.hardin@benchmarkintl.com

SCHEDULE A CONVERSATION



Sources

Sources by page, as linked in this report

KEY TRENDS IN BUSINESS SERVICES

Pye-Barker; Pye-Barker, March 17; APi Group; Federal Reserve; FRED series GS10; GF Data via ACG; ACEC; Bowman; Insurance Journal; Insurance Journal, September 21; Staffing Industry Analysts; FRED series TEMPHELPS; MediaPost composite; Gartner via Marketing Dive; IBBA and M&A Source; IBBA and M&A Source release

PERSPECTIVES ON FIVE SECTORS

SDM; SGS; IAB and PwC; ASI; ENR; PSMJ; AM Best via Risk & Insurance; WealthManagement.com; ASA; Staffing Industry Analysts

WHAT WE'RE READING

ACEC Research Institute; Staffing Industry Analysts; Insurance Journal; PitchBook; Reuters, via Investing.com; GF Data via ACG; Federal Reserve; survey release; IBBA and M&A Source

FEATURE: FIRE AND LIFE SAFETY

Pye-Barker; Pye-Barker, March 17; APi Group; APi Group, December 10, 2025; APi Group, February 3, 2026; SDM; StockAnalysis; Union AlarmTronic; Suppression Systems, Inc.; Aegis Protective Services and Admiral Security Services; Southern Fire Control

CLIENT SPOTLIGHT: THREE FIRE AND LIFE SAFETY SALES

Cintas annual report

SELECT RECENT BUSINESS SERVICES M&A TRANSACTIONS

Pye-Barker; ASI; ASI Central; Bowman results; Bowman; Insurance Business; Insurance Journal; Staffing Industry Analysts; SIA forecast; Korn Ferry

BENCHMARK INTERNATIONAL'S BUSINESS SERVICES TRANSACTIONS

Benchmark International

PUBLIC COMPANIES: VALUATION

GF Data via ACG; IBBA and M&A Source; StockAnalysis

PUBLIC COMPANIES: OPERATING AND VALUATION METRICS

StockAnalysis

EARNINGS AND COMMENTARY

Willdan Group; Bowman Consulting; APi Group; TrueBlue; Stantec; Stagwell; ManpowerGroup; Ryan Specialty; Korn Ferry; Accenture; UL Solutions; Kforce; ABM Industries; FirstService; Advantage Solutions; BrightView; Crawford & Company; Robert Half; Tetra Tech

ECONOMIC TRENDS

FRED series A191RL1Q225SBEA; FRED series UNRATE; FRED series PAYEMS; FRED series GS10; FRED series FEDFUNDS; FRED series TEMPHELPS; FRED series CES6054130001; FRED series CES6056170001

SELECT PARTICIPANTS

StockAnalysis; Staffing Industry Analysts: Knox Lane and Cross Country; Meraki Capital and Tessero; TNC Capital Partners and Aplin; ZRG and Howard Fischer Associates; YA Group and InQuis Global; CodeGreen and Diaz Architect

BENCHMARK INTERNATIONAL

benchmarkintl.com

BENCHMARK INTERNATIONAL RECORDS

Transaction records and the engagement portfolio as of October 1, 2026; announced transactions as published at benchmarkintl.com/insights, each linked from its card or tile.